

Sharpe, start with the Efficient Market Theory that every stock price reflects all available information. There is no other value than the trading value—in other words, the intrinsic value *is* the trading value. Investing is therefore not about selecting undervalued stocks; it's about building a portfolio of securities that optimize expected return for a given level of risk. While the Chicago School equates volatility with risk, value investors tend to view volatility as a source of opportunity.

I know what you are thinking. How did Steven Spielberg miss this perfect reboot for his *West Side Story* movie: dancing fund managers in Patagonia vests and singing Nobel Prize winners in corduroy pants duking it out over the shape of the Efficient Frontier?

I was raised on the wrong side of the rumble for this book. Not only did I not go to Columbia Business School, I attended Stanford, where I was taught by Bill Sharpe himself. As I started writing this essay, a recollection of his first lecture resurfaced—I hadn't given it a thought in 25 years. Professor Sharpe considered the probability of two students in class sharing the same day and month for their birthday. Contrary to everyone's instinct, we calculated a nontrivial percentage and not two but three of us qualified. He proceeded to tell us that these odds are roughly the same as an investor beating the market 15 years in a row. For any one investor, those odds are infinitesimally low. But given the vast number of investors, it is reasonably likely that *someone* will do it. That turned out to be the case for Bill Miller, portfolio manager at Legg Mason, a staunch proponent and practitioner of value investing. According to Professor Sharpe, Miller's streak of outperformance was not a validation of the value investing method; he was simply a dot on a normal distribution curve of outcomes. Somebody had to be. In my naiveté, I registered the fact as a tidbit of statistics. Not so: Bill Sharpe was proselytizing, and his class, Portfolio Management, had an indelible effect on my thinking.